

TAXPAYER AUDIT SURVIVAL AND APPEALS GUIDE

STRATEGY FOR CORRESPONDENCE AND FIELD AUDITS

Section 1: TYPES OF AUDITS AND EXPECTATIONS

IRS audits are conducted in three ways: Correspondence audits (by mail), Office audits (at an IRS office), and Field audits (at the taxpayer's home or office). Field audits represent the highest level of scrutiny and require careful prep.

Section 2: BURDEN OF PROOF AND DOCUMENTATION

The burden of proof during an audit rests entirely on the taxpayer. Taxpayers must produce invoices, bank statements, receipts, and mileage logs to substantiate all claimed business deductions. Receipts are mandatory for all deductions over seventy-five dollars (\$75).

Section 3: APPEALING IRS AUDIT FINDINGS

If a taxpayer disagrees with the auditor's findings, they have thirty (30) days from receiving the IRS examination report to file an appeal with the IRS Office of Appeals. A formal written protest must state the tax years and specific issues disputed.